Illustration 2

Show the accounting equation on the basis of the following transactions for Rani, who is dealing in automobiles.

(i)	Started business with cash	₹ 80,000
(ii)	Goods bought on credit from Ramesh	₹ 10,000
(iii)	Purchased furniture for cash	₹ 6,000
(iv)	Paid creditors by cash	₹ 8,000
(v)	Purchased goods for cash	₹ 2,000
(vi)	Paid rent by cash	₹ 500

Solution

In the books of Rani
Accounting Equation

Transaction	Assets				Capital ₹	Creditors ₹
	Cash ₹	Stock ₹	Furniture ₹			
(i) Started business with cash	+80,000				+80,000	
Equation	**+80,000**			=	**+80,000**	
(ii) Credit purchases		+10,000				+10,000
Equation	**+80,000**	**+10,000**		=	**+80,000**	**+10,000**
(iii) Cash purchase of furniture	–6,000		+6,000			
Equation	**+74,000**	**+10,000**	**+6,000**	=	**+80,000**	**+10,000**
(iv) Paid creditors by cash	–8,000					–8,000
Equation	**+66,000**	**+10,000**	**+6,000**	=	**+80,000**	**+2,000**
(v) Purchased goods for cash	–2,000	+2,000				
Equation	**+64,000**	**+12,000**	**+6,000**	=	**+80,000**	**+2,000**
(v) Paid rent by cash	–500				–500	
Equation	**+63,500**	**+12,000**	**+6,000**	=	**+79,500**	**+2,000**

Illustration 3

Selvi is a dealer in furniture. Show the accounting equation for the following transactions.

(i)	Started business with cash	₹ 1,00,000
(ii)	Deposited cash into bank	₹ 60,000
(iii)	Borrowed loan from bank	₹ 25,000
(iv)	Bought goods and paid by cheque	₹ 10,000
(v)	Cash withdrawn for personal use	₹ 5,000
(vi)	Cash withdrawn from bank for office use	₹ 3,000

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